

MKTG30013 - Strategic Marketing

Assignment 2 Strategic Development Plan

Group 5

Tut Time : Wednesday 14:15-15:15

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Word count: 2182



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Executive Summary

This report on Coca-Cola's strategic development details a plan considering external and internal situation analyses. These analyses revealed several challenges, such as declining demand in sugary soft drinks due to health-conscious consumer trends, and increased competition.

However, Coca-Cola also has opportunities to leverage its brand strength, such as strong position in industry, and ability to innovate to meet shifting consumer preference by promoting and marketing in innovative campaigns.

The primary objective of this plan is to focus on health-conscious products, packaging sustainability, and offering a new development product to new segmentation markets to achieve the marketing objectives, increasing customer awareness, growing market share, improving customer loyalty, achieving growth in revenue and ensuring its packaging is made from biodegradable or reusable materials.

Coca-Cola will invest in research and development to create healthier beverage options through innovative marketing by collaborating with influencers and organizing the related QR event to attract more customers to expand the line of low sugar and no sugar products. Also, introducing sustainable packaging solutions. Additionally, introducing the new segmentation for new development products by co-brand with Chinese high-end alcohol brand (Maotai) to expand the new line for sales growth. Overall, targeted digital marketing campaigns, influencer partnerships, and gamified promotions will drive consumer awareness and loyalty. Sustainability-focused branding will also differentiate Coca-Cola in an increasingly environmentally-conscious market. New product development provides Coca-Cola more opportunity in the new area.

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1. Introduction

With increased awareness around health and environmental concerns, Coca-Cola has to set new objectives and adapt its marketing strategies to stay responsive to shifting consumer preferences. While Coca-Cola's success is attributed to its strong market position and expansive distribution network, it must also reassess its internal capabilities to capitalize on existing problems and potential opportunities. Aligning with Coca-Cola's mission and vision requires a focus on health-conscious products and sustainable practices. Also, offering the new product line to target new segmentation.

This report will conduct comprehensive strategic thinking to guide Coca-Cola's decision-making in the future change steps, highlighting the short- and long-term objectives in response to market trends. The report will propose effective strategies to enhance the marketing, including high-level strategies with segmentation, targeting and positioning, and marketing mix in 4ps. And then providing more details on the implementation plan along with resource allocation on its abilities and budget. Finally, evaluating the overall strategy whether it is successful or not for Coca-Cola's future growth and maintaining its market leadership to cater a new trend.

2. Strategy Thinking -Decision making

2.1 Mission and Strategic Intent

Coca-Cola's mission is “ To craft the brands and beverage choices people love” to refresh both body and mind. Coca-Cola offers refreshing beverages and provides products that cater to diverse tastes and consumer preferences globally. Its mission is to keep its dominance and make the most influential brands in the soft drink market in the future. Always keep changing to meet the customer’s expectations. The current Coca-Cola’s mission and future vision aligns with the situation facing Coca-Cola. As the popularity of health-conscious and environmentally-conscious beverages increases in Australia, it shifts the customer’s choice toward healthier soft drinks which increases the competition and substitution pressure to Coca-Cola. To better cater to the customer’s expectations and improve the vision and vision, Coca-Cola should focus on offering a portfolio that includes healthier, low-sugar and non-sugar as well as the new development products to increase its promotions and strengthen itself in the Australian market.

2.2 Strategic Analysis

The most important insight for the brand to exist in this industry is that Coca-Cola should adjust strategies to respond to the macro situation such as changing consumer preferences for quality beverages and a diverse portfolio. Take advantage of Coca-Cola's position in the market to continue to develop more product choices, such as healthier products, to cater to consumers with a tendency to pay attention, which is also conducive to maintaining market share. Additionally, Coca-Cola's extensive distribution channels both offline and online, ensure a wider range of people, such as specific health-conscious people, are exposed to new and healthier products. While grasping these opportunities and enriching challenges, Coca-Cola can weaken

its current weaknesses. Adding new products can reduce the decline in revenue growth rate in the product life cycle. In addition, by developing more environmentally friendly packaging to provide a force for sustainable development, thereby enhancing the brand's reputation. Coca-Cola can take this into account as it develops its strategy and takes more competitive advantage in the future development.

2.3 Corporate Strategies & SBU Strategies

Corporate Strategies	Coca-Cola's current corporate strategy involves aspects such as product differentiation by offering a diverse portfolio of quality beverage brands that anticipate and satisfy people's desires and needs. In order to cater to consumers' preference for healthier drinks, and to maintain its competitiveness and position in the market, Coca-Cola can make use of its brand advantages to continue to develop healthy drinks and enhance its promotion by different distribution channels. In the choice of packaging, Coca-Cola should consider more environmentally friendly and environmentally friendly packaging to distinguish itself from its competitors,
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	enhance its brand image by keeping consistent with sustainable development, and attract more people, especially those with environmental awareness. Also, introducing a new development product that competitors never tried before to take first mover advantage to attract new potential consumers and reposition their brand. Through differentiation to keep their market position in the soft drink market.
SBU Strategies	Currently, Coca-Cola is in the stage of the revenue decline in the product life cycle. Coca-Cola's innovative SBU strategies involve expanding in emerging markets and developing new healthier soft drinks and more sustainable packaging responding to consumer preferences for healthier and environmentally-friendly options by investing in R&D. To address this new trend in the external factors, it maintains market leadership through strong innovative

	promotion marketing and differentiation. Furthermore, Coca-Cola's dominance position should be kept by tapping into new segmentation by providing a new strategy to increase brand's sales revenue. To keep the competitive advantages, Coca-Cola's SBU strategies have to enhance their brand awareness and position through effective marketing and diversification products which aligns the future vision.
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Table 1 : the analysis of corporate strategies and SBU strategies

3. Marketing Objectives

3.1 Short term

1. Coca-Cola should increase customer awareness of the low/no-sugar products by at least 5% by digital marketing by collaborating with influencers in 2025.

S - Specific	“Increase customer awareness of the low/no-sugar products”
M - Measurable	“by at least 5%”
A - Achievable (is this goal attainable and within capabilities)	- This is achievable, especially for a brand like Coca-Cola, which has vast resources and experience in marketing. - Influencer marketing has proven effective for similar brands, and a 5% increase in awareness is a realistic target.
R - Realistic (does the objective align with the broader goal of the company?)	The objective is realistic because: ● Coca-Cola's broader goal is to offer more health-conscious products as consumers shift toward healthier lifestyles. Increasing awareness of their low/no-sugar products aligns with this goal. ● Influencer marketing and digital campaigns are effective tools for reaching target audiences, especially in the health-conscious and younger consumer segments.
T - Timed	“in 2025”

Rationale	As consumers become more health-conscious, Coca-Cola can capture this market shift by emphasizing its healthier product options (e.g., low-sugar beverages). A digital marketing campaign allows for more targeted and efficient outreach, particularly to younger, tech-savvy audiences. This approach also helps Coca-Cola stay relevant in an increasingly competitive and health-focused beverage industry.
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Table 2 : Validation of SMART for objective 1

2. Increase market share for low/no-sugar products by 2% by expanding the product portfolio (ex. introducing new products/reformulating existing ones) in the next 12 months.

S - Specific	“Increase market share for low/no-sugar products by expanding the product portfolio (ex. introducing new products/reformulating existing ones) aligns with current health trends and regulatory requirements”
M - Measurable	“by 2%”
A - Achievable (is this goal attainable and within capabilities)	The objective is achievable because Coca-Cola has the resources, market

	influence, and a strong track record of adapting to health trends through product innovation, such as Coca-Cola Zero. Furthermore, its ability to quickly align with regulatory requirements and capitalize on health-focused trends gives it a competitive advantage in this growing segment.
R - Realistic (does the objective align with the broader goal of the company?)	With rising consumer demand for healthier, low/no-sugar beverages and Coca-Cola's extensive R&D, marketing, and distribution capabilities, the company is well-positioned to increase its market share by 2% in 12 months.
T - Timed	“in the next 12 months“
Rationale	Rising health awareness, along with government regulations like sugar taxes, is pushing consumers towards low/no-sugar alternatives. Coca-Cola has already invested in these products, and by focusing on increasing market share, it can capitalize on this growing trend while mitigating any losses from declining sales of sugary beverages. This objective also aligns with consumer trends toward wellness and healthier lifestyles.

Table 3 : Validation of SMART for objective 2

3. Increase customer engagement over the next 12 months by implementing an enhanced loyalty program with personalized rewards based on consumer preferences. Increase customer loyalty by 10% through surveys.

S - Specific	“Increase customer engagement...by implementing an enhanced loyalty program with personalized rewards based on consumer preferences.” “Increase customer loyalty.”
M - Measurable	“by 10%”
A - Achievable (is this goal attainable and within capabilities)	The goal is realistic in that it aligns with Coca-Cola’s broader strategy of enhancing customer relationships and engagement. Given the growing focus on personalized marketing and customer experience, implementing a loyalty program that resonates with consumer preferences is relevant.
R - Realistic (does the objective align with the broader goal of the company?)	The goal is realistic in that it aligns with Coca-Cola’s broader strategy of enhancing customer relationships and engagement. Given the growing focus on personalized marketing and customer experience, implementing a loyalty program that resonates with consumer preferences is relevant.
T - Timed	“...over the next 12 months”
Rationale	The rationale for increasing customer engagement through personalized reward enhancement loyalty programs is to

	strengthen brand loyalty, differentiate yourself from your competitors, and increase customer retention. By tailoring rewards to consumer preferences, Coca-Cola aims to deepen emotional connections with customers, encourage repeat purchases, and improve the overall customer experience. In addition, integrating surveys into the program allows companies to gather valuable feedback to improve products and marketing strategies, with the goal of increasing customer loyalty by 10% and increasing customer lifetime value.
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Table 4 : Validation of SMART for objective 3

3.2 Long term

1. Achieve 20% growth in revenue from health-conscious products and new development products, to stand out from competitors by 2027.

S - Specific	“Achieve x% growth in revenue from health-conscious products, such as low-sugar and functional beverages, while tracking progress through sales data and market share analysis.”
M - Measurable	“Achieve 20% growth”

A - Achievable (is this goal attainable and within capabilities)	This goal is attainable , as Coca-Cola has the resources, expertise, and market knowledge necessary to innovate and develop health-conscious products. With an established supply chain and strong brand recognition, the company is well-positioned to introduce new offerings that meet consumer demand and achieve the targeted 20% revenue growth.
R - Realistic (does the objective align with the broader goal of company?)	The target of achieving 20% revenue growth from health-conscious products is realistic , it aligns with Coca-Cola's broader strategy to diversify its product portfolio and respond to changing consumer preferences. By focusing on health-conscious and innovative products, the company can enhance its competitive advantage and strengthen its market position, ensuring long-term growth in a rapidly evolving industry.
T - Timed	"by 2027"
Rationale	As Coca-Cola's traditional product lines (carbonated sugary beverages) face slow growth, particularly due to shifting consumer preferences toward healthier options, the company needs to diversify its portfolio. Focusing on health-conscious products not only caters to evolving consumer demands but also allows Coca-Cola to differentiate itself from competitors who are also entering this space. By targeting 20% revenue growth from

	these categories, Coca-Cola can ensure more sustainable, long-term growth.
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Table 5 : Validation of SMART for objective 4

2. Ensure 80% of packaging is made from biodegradable or reusable materials by 2027 to meet the environmentally-conscious individual's expectations.

S - Specific	“Ensure x% of packaging is made from biodegradable or reusable materials...”
M - Measurable	“80% of packaging...”
A - Achievable (is this goal attainable and within capabilities)	While transitioning to biodegradable or reusable materials requires investment and innovation, Coca-Cola has a history of adapting its practices and can leverage its scale and supply chain to meet this target.
R - Realistic (does the objective align with the broader goal of the company?)	The goal is realistic as it aligns with global trends toward sustainability and consumer demand for eco-friendly practices. It fits well within Coca-Cola's broader commitment to sustainability and environmental responsibility.
T - Timed	“...by 2027”
Rationale	With the increasing environmental awareness of consumers, Coca-Cola needs recyclable packaging in order to meet the needs of consumers and CSR. The advantage of this objective is that it can not only help the company establish the goal of

	sustainable development, but also attract consumers and improve their brand loyalty.
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Table 6 : Validation of SMART for objective 5

4. High-level Strategic Generation/Alternatives

4.1 High-Level Strategy 1 Celebrity-Driven Gamified Promotion Strategy

The Coca-Cola brand will use celebrity endorsements and gamification technology to help the Coca-Cola brand create multi-platform promotions. The purpose of the marketing strategy is to promote consumer engagement and increase consumer awareness of sugar-free products, thereby helping Coca-Cola to strengthen brand loyalty(Knoll& Matthes,2017). Celebrity endorsements and celebrities helping Coca-Cola promote the game will help consumers connect, especially health-conscious consumers. This strategy will help differentiate it from other beverage brands that lack similar interactive or social elements.

Celebrity-led challenges and promotions:	The Coca-Cola brand will work with well-known and influencers in the areas of
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	health, fitness and entertainment in this marketing campaign. These celebrities will post interactive challenges such as videos and viewers on different popular social media platforms such as Instagram, TikTok and YouTube. The celebrities will link the challenges ("7 days with low-sugar drink") to the comments section. The video's content promotion features Coca-Cola's sugar-free products as the main product. For example, fitness influencers can focus on the benefits of drinking Coca-Cola's sugar-free beverage to stay hydrated after a workout to attract customers' attention.
Rewards	After launching the challenge, and then through the gamification of tracking, participants will be rewarded for completing specific challenges. Rewards include VIP discounts, free products, and exclusive experiences with participating celebrities. In order to further improve consumer engagement, Coca-Cola can set up

	leaderboards. Leaderboards can effectively encourage competition among participants.
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Table 7: the details of Celebrity-led challenges and promotions and rewards

To ensure this strategy will not be mimicked by competitors quickly, Coca-Cola should use a preemptive defense strategy. Coca-Cola could make a pre-emptive move to secure celebrity contracts and exclusive promotions before rivals replicate a similar campaign. The strategy includes signing long-term influencer agreements and constantly updating video content and challenges to keep consumers engaged and fresh.

4.2 High-Level Strategy 2 Coke QR Rush

Coca-Cola is launching the Coke QR Rush event which is a game activity. Customers are encouraged to collect the product's QR prize code by purchasing any Coca-Cola product and redeem the reward by subscribing to the Coca-Cola website. The main focus of the campaign is to promote healthy products with low and no sugar to gain the market share. It will differentiate itself by organizing QR Rush campaigns combining digital engagement, wellness rewards and personalized experiences to appeal to both young people and a health-conscious audience. Coca-Cola will use position defense strategy. Coca-Cola's market power and brand loyalty have enabled it to consolidate Coca-Cola's leadership in soft drinks through innovative activities. The

QR Rush campaign helps it maintain its market dominance by constantly attracting customers(Harwood& Garry,2015).

Coke QR Rush Event:	Customers will find unique QR codes on Coca-Cola products, especially low-sugar and sugar-free products with unique bonus points. Scanning these QR codes will lead consumers to exclusive rewards on Coca-Cola's website. This activity encourages consumers to subscribe to the site and keeps consumers engaged. Coca-Cola will offer health-related prizes. Such as gym memberships, redemption for Diet Coke, discounts on sports equipment or digital fitness subscriptions to match the health theme of the event.Coca-Cola will use big data to analyze consumer behavior. The company offers personalized rewards and recommendations based on each customer's purchase history and event participation. This approach not only
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	increases consumer engagement, but also cultivates consumer loyalty by catering to individual preferences. Finally, Coca-Cola will collect consumer feedback through surveys conducted after the event, providing personalized reward experiences and understanding consumer attitudes toward the brand.
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Table 8: the details of QR Rush event

4.3 High-Level Strategy 3 Sustainability and Innovation Strategy

Coca-Cola's sustainability and innovation strategy focuses on addressing consumer health trends and environmental sustainability. Coca-Cola also maintains close relationships and strategic partnerships with its suppliers. The strategy emphasizes investment in research and development, new product formulation development, and sustainable packaging innovation. Coca-Cola's focus on sustainable packaging and environmental practices can be differentiated from other companies that are not environmentally friendly(The Coca-Cola Company, 2024). Strategies can help companies attract environmentally conscious consumers.

R&D Investment and Innovation	Coca-Cola will invest in research and development and the creation of new flavors and recipes. Strategies can meet the needs of
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	health-conscious consumers and innovation-seeking consumers. This is in line with the growing consumer demand for healthier beverages and contributes to Coca-Cola's mission of promoting health. The company does this by focusing on reduced sugar or sugar-free formulations and using natural ingredients. Coca-Cola can offer drinks with health benefits, such as reducing the risk of obesity and heart disease. By using blitzkrieg strategy to run a powerful offline and online campaign. This helped Coca-Cola rapidly promote new health-conscious beverages and sustainability initiatives, and overwhelmingly beat competitors in the health-conscious and environmentally friendly sectors
Sustainable packaging innovation	Coca-Cola will innovate through packaging that is biodegradable or reusable. To help companies implement sustainable practices. The strategy is in line with the brand's

	long-term goal of ensuring that 80% of its packaging is made from environmentally friendly materials by 2027. Coca-Cola will work with packaging suppliers to develop solutions that minimize environmental impact. In addition, Coca-Cola will conduct consumer education campaigns to encourage the adoption of sustainable packaging.
Supplier Relationship	Coca-Cola will maintain strong relationships with its raw material suppliers. This is essential to achieve economies of scale and support long-term sustainable development goals.
Partnerships with environmental Groups	Coca-Cola will work with environmental groups to strengthen its sustainability efforts. These activities will be directly displayed to consumers to enhance the brand image and brand awareness of Coca-Cola.

Table 9: the details of sustainable packaging

4.4 High-Level Strategy 4 — new development product by co-brand

The last alternative is defending the challenge from competitors by investing in new product development that can differentiate Coca-Cola from competitors and capture new market segments, thus increasing sales revenue across multiple product lines. Given the soft drinks industry's product life cycle, in the decline stage, a decrease in revenue for the whole industry. To keep the top dominance in the soft drink industry in Australia, the company needs to differentiate it from all the other soft drink brands. To this end, Coca-Cola could implement an encirclement attack strategy, in which a company competes in multiple areas or product lines at the same time (Business Jargons, 2015). It aims to exploit competitors' weaknesses to weaken their market position, ensure Coca-Cola's dominant position, and increase its revenue in various product lines.

Coca-Cola could extend its sales revenue through diversifying product lines and further promoting a new product development strategy. With the popularity of international adults in Australia increasing, especially among Chinese consumers, combining more representative Chinese elements with beverages will be particularly attractive (Department of Foreign Affairs and Trade, 2021). For instance, offering a new line of Coca-Cola co-branded with the unique flavor of alcohol brand, Moutai, which is a high-end liquor Chinese brand (Maotai, 2014). This blend combines the mellow flavor of Moutai with the refreshing flavor of Coca-Cola. It appeals to target customers who have a keen interest in beverage innovations.

5. Segmentation, Targeting and positioning strategies

5.1 Segmentation

After developing our strategy, it is important to identify discrete groups of consumers. From the analysis of the market, the market is heterogeneous where individuals with diverse needs for products in the soft drink industry (Sharetribe, 2023). Based on the analysis post hoc segmentation for different segmentation, as shown in the table below, to make different targeting strategies for them.

Segmentations	Young people	Health-conscious individuals	Early adopters (Chinese adults in Australia)	Environmentally conscious individuals
Demographic	age : 10-35	age : 30-50+	age: 18-50 Populatoion : Chinese in Australia	millennials (ages 25–40) and Gen Z (under 25)
Socioeconomic	Low and middle income (some may be dependent on their parents or just beginning to work)	Middle and high income group, with stable occupation and living conditions	Middle and high income groups, with strong consumption power	Middle to high-income consumers
Stage of life	1. Alone 2. In the early stage of study or career 3. looking for self-positioning and pursuing trends	1. Family 2. In the stage of balancing family and career 3. More attention is paid to health and long-term quality of life	1. Be willing to invest in personal interests or new experiences	1. Young Adults/Students 2. more engaged with environmental 3. prefer brands that reflect their values of sustainability
Lifestyle/behavior	1. Heavy social media user that	1. Prefer healthy diet	1. Willing to pay a higher price for	1. between being health-conscious and

	always purchasing online and looking for the promotion products 2.Like to participate in social activities	2.Participate in fitness actively 3.Buying behavior is health oriented, focusing on product ingredient list and nutrition labels	innovation 2.Always focus on innovation products 3.Looking for products with Chinese elements in Australia with a strong connection to Chinese culture and its elements	being environmentally conscious 2.Consumers who already practice recycling, reducing waste 3.individuals who are into outdoor activities
Psychographic	1.Dependent from peers' feedback 2.Tend to choose brands that match their lifestyle(Fashion and personalization	1.Independent their daily life 2.Pursue physical and mental health, like to control the level of sugar in the diet	1.The pursuit of unique and innovative life experiences 2.Despite being abroad, they are willing to try new drinks combining with representative Chinese elements 3.Always switch the different brands	1.motivated by environmental ethics and strongly believe in sustainability and corporate social responsibility. 2.consumers tend to value altruism, responsibility, and long-term thinking.

Table 10: the post hoc segmentation for customers

Variables of Segmentation: Young people	
Who	10-35 years old young people
What	1.Prefer fashion and personalized drinks 2.Pay attention to trends and social experiences 3.Choose brands that match their lifestyle
Where	1.E-marketing—online behavior 2.By purchasing from convenience stores, supermarkets, vending machines, and fast-food outlet
Why	Young consumers buy Coca-Cola not only for taste, but also for social needs and self-expression. They like to show personality and taste through the brand, and are happy to participate in the brand's campaigns

Table 11: Analysis for young people segmentation

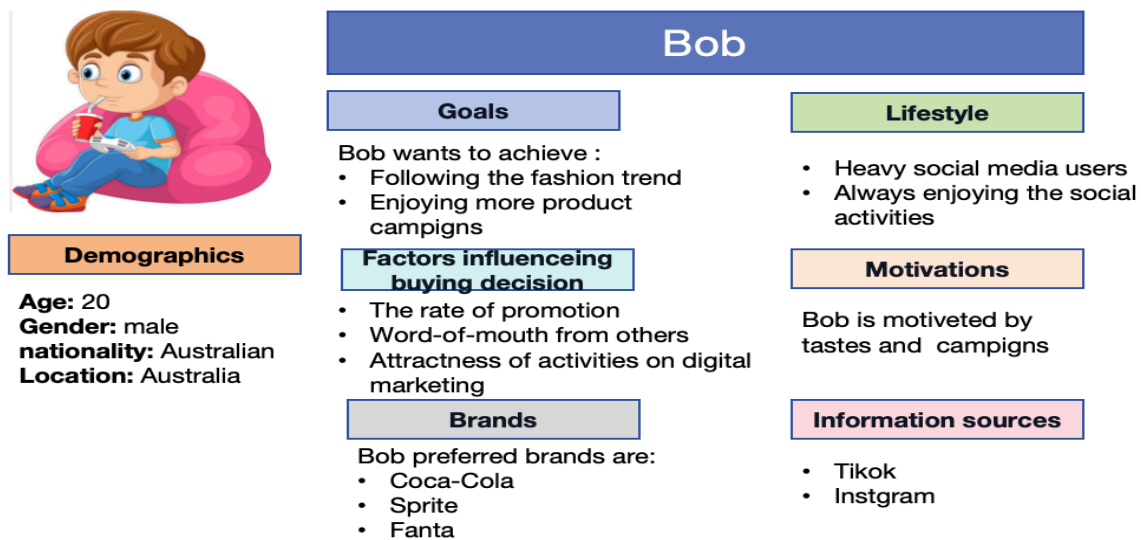


Figure 1:Example persona 1 for young people

Variables of Segmentation: Health-Conscious	
Who	30-50+ years old with health-conscious trend
What	1.Prefer low-sugar or no-sugar drinks, therefore, they might purchase “zero sugar line’ or ‘diet coke’ series 2.Pay attention to ingredients and nutrition labels
Where	1.By purchasing from fitness center, healthy supermarkets and stores
Why	Health-conscious consumers want to achieve the goal of healthy living by choosing beverages with low or zero sugar, while still enjoying the taste and pleasure of the beverage

Table 12: Analysis for health-conscious segmentation

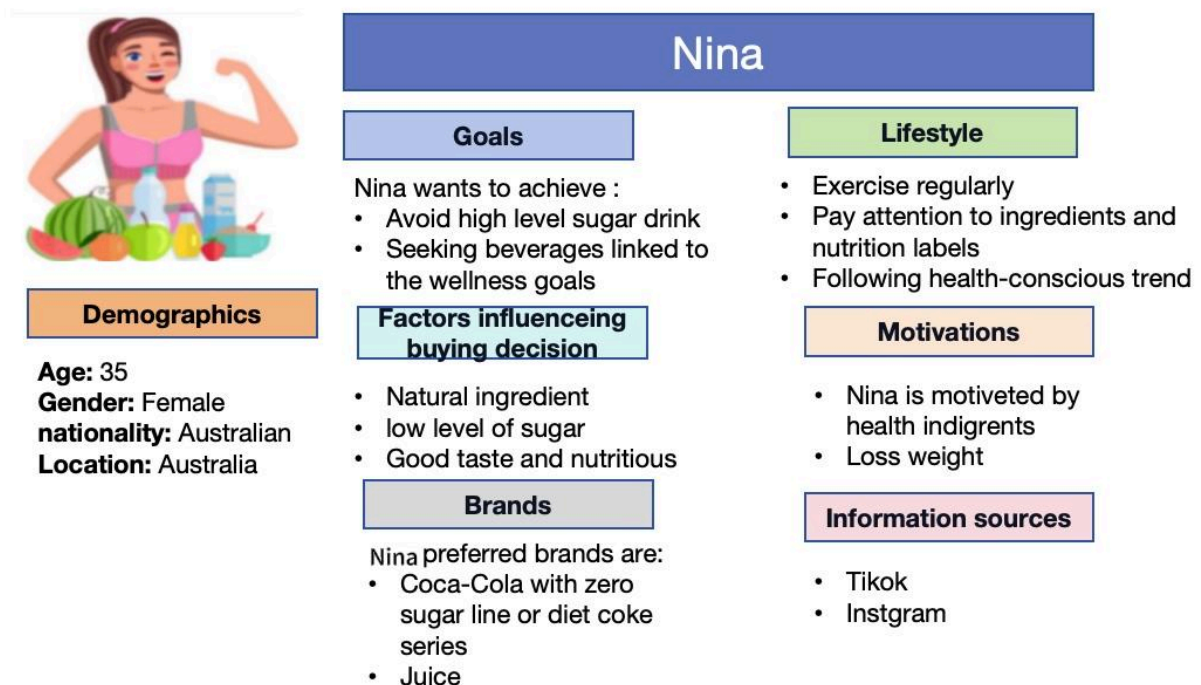


Figure 2: Example persona 2 for health-conscious individual

Variables of Segmentation: Early adopters (Chinese in Australia)	
Who	18-40 years old consumers who seek innovation and new experiences
What	Coca-Cola could appeal to these consumers by special flavors. For example, new flavors of Coke, Cross-border co-branded product (such as the high-end co-branded of Coca-Cola and Moutai)
Where	1.E-marketing—online behavior 2.Purchase products through social media, innovative product launch platforms or online shopping channels.
Why	These consumers seek uniqueness and innovation, and are willing to pay a premium for new experiences and fashion trends

Table 13: Analysis for early adopters (Chinese in Australia) segmentation

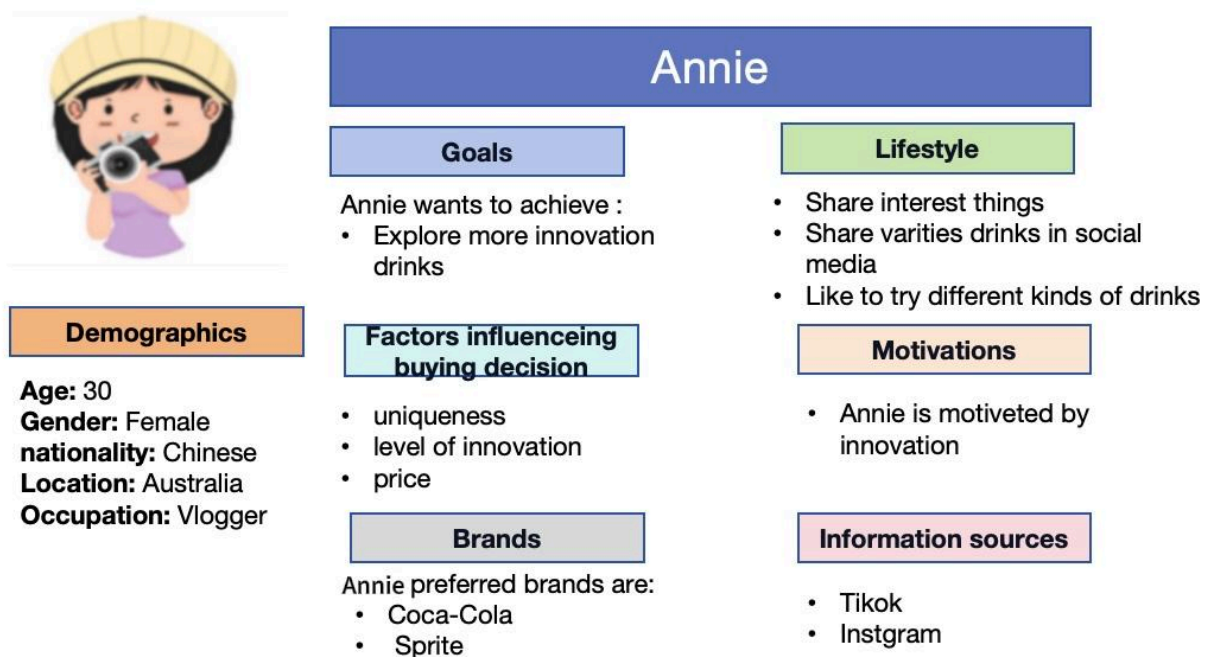


Figure 3: Example persona 3 for early adopters (Chinese in Australia)

Variables of Segmentation: Environmentally conscious individuals	
Who	Environmentally conscious consumers tend to be young to middle-aged (mainly 18-45 years old)
What	These people seek products and brands that align with their values of sustainability and environmental responsibility. People are interested in environmentally friendly packaging, ethical raw materials and products.
Where	Online communities and platforms
Why	People want to have a positive impact on the planet through their buying decisions and expect transparency and accountability from brands

Table 14 : Analysis for environmentally conscious individuals segmentation

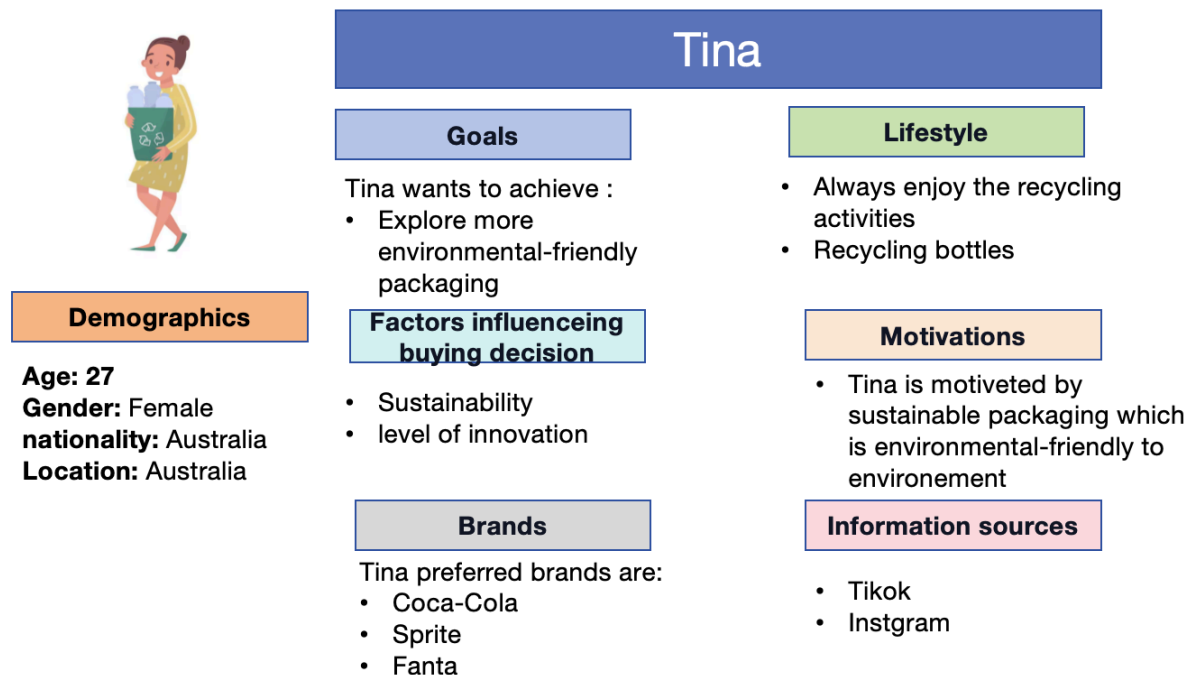


Figure 4: Example persona 4 for environmentally conscious

5.2 Targeting

High-level strategy	Segmentations	Targeting Strategy
High-level strategy 1	Young people & Health-conscious Individual	Differentiated targeting strategy
High-level strategy 2	Young people & Health-conscious Individual	Differentiated targeting strategy
High-level strategy 3	Environmentally conscious individuals	Concentrated strategy
High-level strategy 4	Early adopters (Chinese in Australia)	Concentrated strategy

Table 15: the classification of targeting strategy

This table highlights Coca-Cola's strategic targeting for various consumer segments. Strategies 1 and 2 focus on young people and health-conscious consumers through a differentiated targeting approach. Promoting low-sugar and no-sugar product campaigns (7 days without sugar and QR Rush Event) on social media through collaborating with influencers could effectively capture the attention of youth. Since young people are heavy users of social media platforms, they are likely to engage with such campaigns quickly. Additionally, these health-oriented campaigns focus on wellness, which aligns with their desire for healthier lifestyles. Strategy 3 targets environmentally conscious consumers using a concentrated strategy where they enhance the sustainability of Coca-Cola's packaging. Strategy 4 focuses on early adopters, specifically Chinese consumers in Australia, through a concentrated approach that combines Chinese cultural elements and co-branded with high-end alcohol brands(Moutai). It is a growth potential for this targeted marketing. Overall, Each strategy is designed to meet the specific needs of its target segment, enhancing brand relevance and market differentiation.

5.3 Brand Positioning

Types of Positioning	Segmentation	Reasons
Functional	Health-conscious individuals	Product positioning focuses on highlighting the health benefits of low-sugar/sugar-free products. It is marketed to attract consumers who are health-conscious and looking for healthier beverage alternatives.
Symbolic/emotional	Environmentally-conscious individuals	Coca-Cola builds an emotional connection with sustainable consumers and appeals to their values and commitment to protecting the planet
Experiential	Young people/ early adopters (Chinese adults in Australia)	Coca-Cola offers consumers a unique brand experience and cultural relevance. Coca-Cola is targeting young and tech-savvy consumers, particularly Chinese adults in Australia. Coca-Cola builds connections through culturally relevant events, product experiences and digital interactions.

Table 16: The types of positioning for each segmentation

Positioning 3Cs	Analysis
Company Benefits	-High brand identity -Extensive distribution -High market share in soft drink industry, keep the dominance in the market
Competitor Benefits	-Have strong partnerships and celebrity endorsements -Some of competitor already introduce the sugar-free and low-sugar products -Have lots of promotions or advertisements on social media platforms
Consumer needs	-Low-Sugar, Healthier Drinks: As health awareness rises, offering soft drinks with reduced sugar appeals to consumers looking for healthier beverage options. -Sustainable Packaging: more environmentally friendly packaging, such as biodegradable materials or recyclable bottles -Innovation product for Chinese Consumers in Australia: Developing products that incorporate Chinese elements, such as co-branded with a high-end alcohol brand (Maotai)

Table 17: The Analysis of positioning 3Cs

The theoretical analysis of Coca-Cola brand with 3c emphasizes the strategic advantage of Coca-Cola. 3c analysis can help Coca-Cola analyze competitive dynamics and changing consumer needs. In order to strengthen its Coca-Cola market position, Coca-Cola must take

advantage of its brand strength. And Coca-Cola needs to focus on health and sustainability to help Coca-Cola continue to innovate to meet the different expectations of consumers.

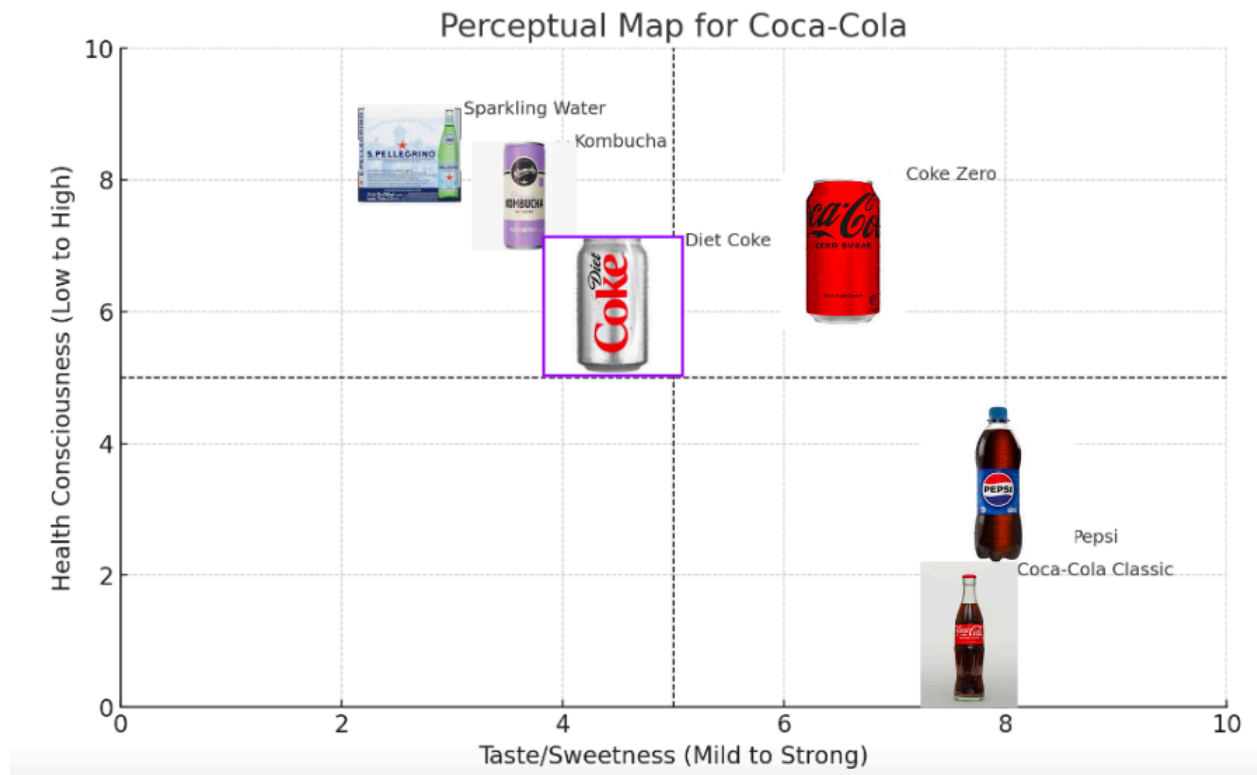


Figure 5 : The perceptual Maps for Coca-Cola

6. Consumer Value/ Marketing Mix Strategies

In order to execute Coca-Cola's high-level strategy and meet the marketing objectives, we will use the marketing mix strategies (4P's) in order to create innovation, communicate, and deliver value to their current and potential customers. There will be a change in strategy since they have shifted their focus on promoting low-sugar/no-sugar beverages as well as their focus on using sustainable and recycled packaging so that products match consumer health and environmentally-conscious trends without losing brand equity and customers.

6.1 Product Strategy:

Product strategy	Analysis
Focus on Low/No Sugar Beverages	Coca-Cola will expand its range of low/no sugar Beverages more than what it currently offers by introducing new flavors, fortified drinks filled with vitamins or minerals, and clean labels to showcase natural ingredients. By doing so they will be able to retain and gain health-conscious customers
Packaging Innovation	Coca-Cola will increase the usage of sustainable packaging, by using biodegradable and recyclable materials for packaging.

New innovation product	Coca-Cola will co-branded with high-end alcohol brand (Maotai) in China, incorporating distinctive Chinese cultural elements to differentiate itself from competitors.
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Table 18: the analysis of product strategy

6.2 Price Strategy:

Price strategy	Analysis
Adaptive Pricing for Low/No-Sugar Beverage	Coca-Cola will ensure the use of the promotional pricing strategy where products are priced below the usual markup (SheerID, 2022), instead of premium pricing for its healthier options to make them as affordable as possible for all consumers thereby increasing the consumption of such products.
Captive pricing for sustainability packaging bottles	It sets the base Coca-Cola's product at relatively low prices, but sets the captive product like with sustainability packaging

	bottles charging high prices to earn more margin profits (Toxboe, 2023).
Skimming	Charging the highest possible price for buyers who are highly willing to buy the products (Paddle, 2021). For example, the early adopters will always be attracted by the innovative products and they will pay a high premium when Coca-Cola collaborates with a high-end alcohol brand (Maotai).

Table 19: the analysis of price strategy

6.3 Place/Distribution Strategy:

Place/Distribution Strategy	Analysis
B2C distribution channel (selling products to retailers who sell directly to consumers)	While Coca-Cola will continue to exploit its current distribution network, it is also looking to selectively distribute with more health-focused retailers, upscale stores, and large stores that can help reach health-conscious consumers and the early

	adopters who are willing to pay higher prices for new product
E-commerce extension	Coca-Cola will improve the customer experience on e-commerce sites, making it easier and convenient for customers to purchase products directly with options like home delivery and subscription service for their favorite low-sugar products.
Pop-up Experiences & Vending Machines	Pop-up events or vending machines selling only low/no-sugar products and the new products in gyms, colleges, and public places to drive visibility.

Table 20: the analysis of place/distribution strategy

6.4 Promotion Strategy:

Promotion Strategy	Analysis
Health & Fitness Influencers	By collaborating with numerous health/fitness influencers on social media platforms like TikTok, instagram, Youtube. In order to promote and target more health conscious

	individuals, with start a healthy diet drink punch challenge to increase the health products line's awareness
Celebrity Endorsements	High Profile endorsement featuring celebrities like gigi hadid, jimmy fallon etc to promote the new variants of coca-cola, as well as getting to light the initiative of sustainable packaging.
Loyalty Programme	Coca-Cola will enhance and promote its loyalty programmes with rewards aimed specifically at customers who repeatedly buy low/no-sugar products This could include gamification whereby consumers earn points for purchasing these products or for engaging with the brand on social media.
Sustainability messaging	Communications regarding Coca-Cola's commitment to sustainable packaging and eco-friendly initiatives will resonate with those consumers who feel that, aside from health, environmental impact is vital.

Table 21: the analysis of promotion strategy

7. Strategy Implementation & Resource Allocation

7.1 Strategy implementation

1. Project Management Approach

A structured approach to resource allocation, with distinct activities, responsible teams, and deadlines for the activities, will guarantee successful implementation (Martins, 2020).

Annual Marketing Plan-Year 1

The first year will be dedicated to product launches, expanding distribution, and targeting health-conscious consumers.

May	Run sustainability campaign with NGO partnerships	CSR, Marketing Team	May 31
June	Introduce customizable Coke Freestyle machines	Operations, Marketing	Jun 30
Q3			
July	Pop-up promotions in gyms and public spaces	Sales, Field Marketing	Jul 15
August	Evaluate campaign performance	Marketing, Data Analytics	Aug 31
September	Expand digital ads, introduce e-commerce subscription model	E-Commerce, Marketing	Sep 30
Q4			
October	Launch holiday bundle offers and student promotions	Sales, Marketing, Promotions	Oct 15
November	Begin product R&D for functional low/no-sugar products	R&D, Product Development	Nov 30

December	Plan Year 2 marketing and allocate budget	Executive, Finance Team	Dec 15
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3-Year Plan Overview

Year	Key Strategy	Activities	Completion Date
Year 1	Product expansion, health-focused promotions	Product launches, digital campaigns	December
Year 2	Distribution growth, product innovation	Fortified beverages, digital expansion	December
Year 3	Market leadership in low/no-sugar segment	New products, global campaigns	December

Table 22: The implementation plan for Coca-Cola

7.2 Resource Allocation

A key component in ensuring the success of our marketing strategy is the careful allocation of resources. This includes setting an appropriate budget, conducting a break-even analysis, and assessing the effectiveness of marketing campaigns through key metrics

Budget Allocation

To fund the marketing activities for Coca-Cola's low/no-sugar beverages, we will dedicate 8% of forecasted Year 1 sales to these activities. Based on forecasted first-year sales of \$2.5 billion, this

equates to a marketing budget of \$200 million. The budget will be used in order to implement all marketing activities consisting of digital, influencer, launch activities of the products, and point-of-sale promotional activities both on physical and digital channels.

Break-Even Analysis	To assess the financial viability of the marketing spend, we conducted a break-even analysis: Total Marketing Spend Year- \$200M Selling Price per Unit = \$1.50 Variable Cost per Unit = \$0.75 Contribution Margin = \$0.75 (Selling Price - Variable Cost) The Break-Even point, in units sold, can be calculated as: Break-Even Units = Total Marketing Spend / Contribution Margin Break-Even Units = \$200M / \$0.75 = 266.67M units This means that we would have to sell 266.67 million units of low/no-sugar drinks along with the other products to break even on the marketing investment. Given Coca-Cola's broad distribution network and strong market presence, this target is achievable within the first year.
Cost Per Reach	A significant chunk of the budget will be allocated to the marketing in digital channels: social media, search engines, and streaming

	platforms. These campaigns will aim to reach 300 million people. Digital Marketing Spend: \$50M Digital Marketing Reach: 300M people Cost Per Reach = $\\$50\text{M} / 300\text{M} = \\0.167 per reach This efficient cost per reach enables us to engage with a huge audience while keeping expenses in check.
Cost Per Sale	Assuming a 6% conversion rate from digital engagements to actual sales, we expect to generate 6 million units sales from the digital marketing efforts. Assumed Sales from Digital Campaigns: 6M units Digital Marketing Spend: \$50M Cost Per Sale = $\\$50\text{M} / 6\text{M} = \\5.00 per sale This \$5.00 cost per sale aligns better with our pricing strategy of \$2-3 per unit. By leveraging promotional strategies, such as targeted discounts and loyalty rewards, we can further reduce acquisition costs.

Table 23: the method for budget allocation

7.3 Key Metrics

To measure the effectiveness of the marketing efforts , we will monitor several key factors

Key Metric	Description	Target
ROI (Return on Investment)	Tracks the return generated from marketing expenditures by comparing total revenue to marketing spend.	Evaluate efficiency and profitability
Conversion Rates	Monitors the percentage of digital engagements that result in sales.	Target: 5% conversion rate
Market Share Growth	Assesses growth in the low/no-sugar beverage category to evaluate penetration in the health-conscious consumer segment.	Significant growth in market share
Customer Acquisition Cost (CAC)	Calculates the cost-effectiveness of marketing spend relative to new customers acquired.	Maintain cost-effective marketing
Customer Lifetime Value (CLV)	Estimates the long-term value of repeat customers to adjust marketing spend for maximising profitability.	Maximise lifetime profitability

Table 24:the evaluation of effectiveness of each metric

8. Strategy evaluation and control

	Advantages	Disadvantages	In sum
High-level strategy 1	-Increase consumer brand awareness and brand loyalty The influencers are experienced content creators, capable of producing engaging content and resonate with younger audiences, leading to greater participation (BigCommerce, 2023). Differentiated Focus gamification of personalized rewards taps into digital consumer behavior, enhancing brand awareness and boosting brand loyalty (Responselabs, 2023).	-High cost of collaborating with influencers High-profile endorsements can be costly, and the strategy's success is dependent on the engagement and interaction between the celebrities and the target audience (Wisernotify, n.d.). -The uncertainty of influencing of influencers Celebrities not only represent their personal image but also directly affect the public's perception of the brand. When a celebrity gets scandal, a brand's association with it can be seen by consumers as supportive of misconduct, leading to reduced trust, and demand for brand image (FasterCapital, n.d.) -Easy for competitors to imitate Competitors could replicate similar gamification strategies, diminishing Coca-Cola's differentiation focus in the market	High cost High competition High risk

High-level strategy 2	-Create differentiation focus product's event and service to a specific segment of the market such as health-conscious consumers -Increase market share in low-sugar or no-sugar products Offering health-related prizes, such as gym memberships and discounts on sports equipment, aligns with the target audience's interest. To attract their attention of enjoying the event and purchase such products -Building consumer loyalty by develop the products or service from their feedbacks By collecting consumer buying habits and preferences, Coca-Cola could provide more personalized product recommendations and marketing campaigns. Consumers are more likely to start connecting with brands that understand their needs (Sprout Social, 2018).	-Take a long time to collect the all the QR code Some customer may feel complex to collect this, they might give up during the event	Medium cost Medium competition low risk
High-level strategy 3	-Strengthens market leadership and brand loyalty -Attract health - and environmentally-conscious groups	-High R&D and innovation costs It require invest lots in innovating new packaging -There is uncertainty risk in supplier cooperation	Medium risk High competition High cost
High-level strategy 4	-Increase the sales revenue Introducing unique product lines could attract early adopters and premium consumers, boosting sales in high-margin segments -Differentiation Focus provides specialized products	-Need more insights in demand to first movers Coca-Cola has to be the first mover in collaborating with high-end brand strategy. This strategy requires Coca-Cola to prioritize	High cost Low competition High risk

	Creating new products, such as the Coca-Cola and Moutai co-branded can set the company apart in the competitive soft drink industry -less competition compared with the soft drink industry As the Maotai is a high-end alcohol brand, such a product is aimed at consumers who are willing to pay a premium and have high loyalty. Moreover, the development of such products requires strong R&D and market resources, therefore the high level of new entrants, making it difficult for small and medium-sized competitors to enter quickly	innovation and insights to capture consumer interest and drive market success (Nel, 2024). -High investment in co-branded High marketing, production, and R&D costs in launching the new product can weigh on a company's finances. If sales do not go as well as expected, these investments can lead to losses (Viglietti, 2024).	
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Table 25: the evaluation of advantages and disadvantage for each high-level strategy

Based on the analysis of each high-level strategy above table, high-level strategies align with different objectives and target specific consumers. Implementing a combination of these strategies could create a synergistic effect, allowing Coca-Cola to leverage the strengths of each approach to achieve its objectives effectively. Additionally, further development in low-sugar and no-sugar products is Coca-Cola's main objective to gain more market share and keep the leader in the soft drink market. Objectives effectively. Although there are disadvantages, the high-level strategy 2 is the best option with the long-term health-conscious trends increasing.

Evaluation(what is to be measured)	Evaluation(How is it to be measured)	Applying Data Type (Data Source)	Evaluated when? (When it is to be measured)
High-level strategic 1: Brand awareness Customer loyalty	1.Brand awareness: use social media analytics to track mentions and sentiment	Quantitative data	Pre-campaign: establish baseline metrics for brand awareness During Campaign: monitor

	2.Customer loyalty: Participate rates -The number of participants who attend the challenge. Also, measure how many new users enroll in the program and how actively they participate in it over time Reward Redemption Rates -Track how many participants redeem rewards offered through the campaign (e.g., discounts, VIP experiences, exclusive offers with celebrities).		engagement metrics in real time Post-Campaign: evaluation changes in brand awareness, engagement
High-level strategic 2: Market share Customer loyalty	1.Market share: Sales of low-sugar and no-sugar products -Measure the total sales of Coca-Cola's low-sugar and no-sugar products compared to competitors' sales within the same product category Redemption Rates - The number of participants who redeem rewards could reflect the people's willingness to the low-sugar and no-sugar products 2. Customer loyalty: customer feedback	Quantitative data Qualitative data	Pre-event: sales data on low-sugar and no-sugar products During the event: check the customer feedback to develop a strategy Post-event: analyze the sales performance compared to the competitors, determining whether it is successful to increase market share in this event Evaluate the redemption rates and customer feedback to develop the further plan to promote this product line

	through surveys -It could reflect the people's engagement in this event and their suggestions for the further improvements to build customer loyalty Subscribe rates -To know how many potential customers the event brings in. And the effectiveness of organizing this event		
High-level strategic 3: Enhance the number of recycling packaging	1.Ensuring the 80% recycling packaging Measure whether the proportion of recyclable packaging is growing. Track the amount of recycled materials used in the packaging process to ensure that products use environmentally friendly alternatives. Monitor consumer engagement and participation in recycling programs through consumer loyalty programs or surveys.	Quantitative data Survey Data Supplier Data	Quarterly Reports
High-level strategic 4: Sales volume	1.Sales revenue -The number of new product sales The sales figures for new products, to determine the effectiveness of the	Quantitative data	Pre-launch: understand target market preferences and potential demand Post-launch(weekly or monthly sales figure): based on the sales data, to determine whether a new

	strategy and show how an innovative product contributes to overall revenue growth. If the number of new product sales is high in the early stage, it means more potential customers will be attracted through word-of-mouth from early adopters (Mulevy, 2024). -Customer acceptance rates The number of purchases could reflect whether it is suitable for targeted customers or not		product should be produced in the future or not
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Table 26: the evaluation data for each strategies

9. Ethical consideration

The most significant insight we have developed is whether the objectives and strategies are aligned or not. In the first stage of our discussion, we think the differentiation focus is important to achieve our goals, which align with the current health-conscious and environmentally-conscious trends. We should focus on how to develop details with the customer marketing mix, integrated with the objective of Coca-Cola. In addition, it should provide more transparency to consumers that will not cause information asymmetry, especially in terms of honest communication about product benefits and health claims.

Also, having recognized the importance of creating distinctive new products to stand out from the competitors, we now understand the need for differentiation of the new products that never appear in the soft drink market. To take the first mover advantage, we have come up with a concentrated strategy for a new specific segment, ensuring that the products align with the expectations.

This experience helped us to better understand how we could make strategies well based on the opportunities and threats in the current situation to make the marketing objective.

10. Conclusion

Through the market analysis of Coca-Cola, it can be seen that in the current market environment, Coca-Cola is facing both opportunities and challenges. Through the improving marketing strategy by collaborating with influencers, organizing the QR event to promote the health products, enhancing the sustainable, offering the new products with co-brand with high-end alcohol brand, targeted into four main segmentation, young people, health conscious individuals, early adopters and environmental conscious individuals, providing Coca-Cola with a diversified marketing direction.

In the marketing mix strategy, the product strategy emphasizes the promotion of classic products and low-sugar/sugar-free products, as well as the development of innovative products, and focuses on sustainable packaging; The pricing strategy adaptive pricing in promotional pricing strategy, captive pricing, and skimming. The channel strategy focuses on health and environmental conscious retail locations and online platform placement; The promotion strategy uses a combination of celebrity endorsements, influencer marketing, loyalty programs and sustainability campaigns.

Taken together, these strategies are designed to increase brand awareness, increase market share of low sugar/no sugar products, enhance customer loyalty, drive revenue growth, and promote a sustainable image. These strategies, aligned with the company's mission and strategic intent, help Coca-Cola stay ahead of the curve in the competitive beverage market and adapt to changing consumer needs and market trends.

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